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WHY THE UNITED KINGDOM SHOULD HAVE A LAW AGAINST MISAPPROPRIATION

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It is generally accepted that the United Kingdom does not have a law of unfair competition.¹ But this is a puzzling statement. In fact, there are number of torts, including breach of confidence, malicious falsehood, and passing off, which cover a great deal of the territory which in other jurisdictions is considered to fall within the general area of unfair competition law.² Furthermore, there are an increasing number of statutes and regulations (largely of EU derivation) which occupy this same territory.³ The torts of course are generally enforced between businesses, while, by contrast, the statutes and regulations are enforced by state agencies. Nonetheless, taken together, the common law torts and the statute law in this area would overlap with almost all the legislation and case law which in other jurisdictions would constitute a law of unfair competition. It follows that to explain how the United Kingdom can claim not to have a law of unfair competition, it is necessary to map not this broad area of overlap, but rather to locate the small outpost where United Kingdom law is thought to differ from that of many of its continental neighbours. Arguably, what is held to differentiate United Kingdom law from a more general law of unfair competition has generally been identified by both judges and commentators as residing in large measure in its refusal to encompass a remedy for what is sometimes called “unjust enrichment” and at other times, misappropriation, often referred to as “pure” misappropriation. This difference is most clear if one considers the tort of passing off, which is usually thought to come closest in the United Kingdom to providing a general remedy against unfair competition.⁴

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¹ Thus recently, in his judgement in *L'Oreal S.A. v. Bellure N.V.* [2007] EWCA Civ 968 at para. 142, Jacob L.J. stated: “I would reject Mr. Carr’s [counsel for the claimant] invitation to invent a tort of unfair competition, even if were open to us to do it – which I do not think it is.” Similarly, in *Diageo North America Inc. & Anor v. Intercontinental Brands (ICB) Ltd. and Ors* [2010] EWCA Civ 920, Patten L.J. said (at para. 24): “There is no general law against unfair competition. The law rapidly rejected the notion that a manufacturer could sue to protect a right of property in his mark and instead concentrated on the goodwill which his business has established.”

² See H. Carty, *An Analysis of the Economic Torts* (Oxford 2001).

³ Most notably, the Consumer Protection from Unfair Trading Regulations 2008 implements the Unfair Commercial Practices Directive (2005/29/EC) and the Business Protection from Misleading Marketing Regulations 2008 which implements the Comparative Advertising Directive (2006/114/EC).

⁴ See for example, H. Carty, *An Analysis of the Economic Torts*, p. 180.

According to the textbooks, to prove passing off it is necessary to show that three separate elements are present: goodwill, misrepresentation and damage.⁵ This may be contrasted with the situation in other jurisdictions. For example, under French unfair competition law, there is a remedy against *concurrence parasitaire*, which has been described as the exploitation of one party's commercial achievements or reputation by another, even if there is no likelihood of confusion between them and even if the parties are not directly in competition.⁶ An example might involve the sale of brand name lookalikes.⁷ Germany too, following the passage of its Unfair Competition Act 2004, has introduced sanctions against the "parasitic exploitation of another's achievements" which does not necessitate a misrepresentation.⁸

The centrality of misappropriation to what is generally understood in the United Kingdom to constitute a general law of unfair competition by contrast to the narrower tort of passing off may be seen in the differing approaches of the British and the French courts to the dispute between the perfume companies, L'Oreal and Bellure in these two jurisdictions. In this case, L'Oreal, which manufactured expensive perfumes sought to prevent the defendant from marketing cheap perfumes in packaging and with fragrances which made allusion to the claimant's products and advertising its products with reference to the claimant's own. In France, apart from findings of trade mark and copyright infringement, and of unfair competition based on a likelihood of confusion between L'Oreal's products and those of Bellure, the courts also found Bellure to have been guilty of "parasitic competition", which did not involve confusion. According to the Court d'appel de Paris (Fourth Chamber):⁹

It is shown by the evidence brought before the Court that Bellure's illicit acts are directed against the perfumes of the claimant companies which have acquired a certain reputation with consumers; in appropriating at reduced costs the financial investments made by the claimant companies in developing the perfumes, their packaging and in promoting the finished products, by marketing perfumes which were presented as equivalent and in reproducing identical ranges of products...Bellure committed distinct acts of parasitic behaviour.

⁵ The authority for this is of course the two leading cases, *Erven Warnink B.V. v. J. Townend & Sons (Hull) Ltd.* [1979] AC 73 (the "Advocaat" case) and *Reckitt & Colman Products Ltd. v. Borden Inc. (No 3)* [1990] 1 WLR 491 (the "Jif Lemon" case).

⁶ F. Henning-Bodewig, *Unfair Competition Law: European Union and Member States* (Hague 2006), p. 123. F. Henning-Bodewig, "A new Act against unfair competition in Germany" (2005) IIC 421 at 428–29.

⁷ B. Mills, "Own label products and the 'lookalike' phenomenon: a lack of trade dress and unfair competition protection?" (1995) EIPR 116 at 129.

⁸ This can be dealt with under the general clause of Sec. 3 of the UWG. There is no need to show confusion, although a higher standard of proof is required. Henning-Bodewig, *Unfair Competition Law*, p. 136.

⁹ *L'Oreal SA v. Bellure NV* (Case 04/18300) [2006] E.C.D.R. 16 at para. 53.

In the UK, on the same facts, L'Oreal asserted that Bellure was guilty of both trade mark infringement and passing off. Moreover, counsel for L'Oreal also argued that the Court should be willing to "embrace a tort of "unfair competition" which requires no misrepresentation."¹⁰ Jacob L.J. had certainly taken the view that there was no misrepresentation in this case. He had found that the claimant and the defendant were neither in competition with each other, nor would consumers confuse their products.¹¹ But he was not prepared to extend the law of passing off to embrace a situation such as had arisen in this case. According to Jacob L.J., those "who support some wider tort" of unfair competition, "use the word "misappropriation" of goodwill to designate it."¹² He went on:

I wish to state that I think it very unhelpful. We are all against misappropriation, just as we are all in favour of mother and apple pie. To use the word in the context of a debate about the limits of the tort of passing off and its interface with legitimate trade is at best muddling and at worst tendentious.

So I think the tort of passing off cannot and should not be extended into some general law of unfair competition.¹³

As was made clear in *L'Oreal v. Bellure*, the key barrier which is usually identified as preventing passing off from developing into a tort of unfair competition has been the need for a misrepresentation or, as it is sometimes called, a deception.¹⁴ Thus, Jacob L.J. quoted from his own earlier decision in *Hodgkinson & Corby v. Wards Mobility Services* to the effect that "never has the tort [of passing off] shown even a slight tendency to stray beyond cases of deception. Were it to do so it would enter the field of honest competition, declared unlawful for some reason other than deceptiveness."¹⁵ It will be argued here that the focus on the need for deception in passing off as the requirement which differentiates that tort from a more general tort of unfair competition is itself deceptive. In fact, what is generally held necessary in passing off is not any misrepresentation, but a misrepresentation which damages the claimant's goodwill.¹⁶ And what has actually shaped the limits of passing off, and indeed what in fact has determined whether or not it has embraced "pure misappropriation" has been the changing nature of the damage which the courts have been prepared to recognise, together with the fact that, in practice, a claimant is rarely, if ever, put

¹⁰ *L'Oreal v. Bellure* (CA) at para. 135.

¹¹ *L'Oreal v. Bellure* at para. 7.

¹² *L'Oreal v. Bellure* at para. 160.

¹³ *L'Oreal v. Bellure* at para. 160–161.

¹⁴ This point is made by Michael Spence in "Passing Off and the Misappropriation of Valuable Intangibles," (1996) 112 L.Q.R. at 474.

¹⁵ *Hodgkinson & Corby Ltd. v. Wards Mobility Services Ltd. (No.1)* [1994] 1 WLR 1564, quoted in *L'Oreal v. Bellure* (CA) at para. 137.

¹⁶ See for example, Lord Fraser, *Warnink v. Townend* at 105.

to the task of proving it has occurred. As a result, it will be suggested, the British courts have, in effect, allowed passing off to venture into the territory usually deemed occupied by unfair competition law more generally.

The next section (I) will examine two recent registered trade mark decisions of the ECJ, *Intel v. CPM* and *L'Oreal v. Bellure*.¹⁷ It will do so in order to demonstrate that whether or not the law of registered trade marks provides a remedy for misappropriation hinges on the question of damage rather than the need for a deception. The following section (II) will then turn to passing off. It will suggest that here too very often it is the nature of the damage rather than the nature of the misrepresentation which is determinative of whether there has been passing off and this is particularly the case when the court seeks to expand the tort's traditional boundaries. The section III will then turn specifically to look at the role of damage in delineating the boundaries between passing off and unfair competition. It will argue that the ease with which courts can identify new forms of passing off depends in some measure upon the rarity with which claimants will, in practice, be called upon to prove that damage has occurred. This article will then conclude (IV) by suggesting that given the protean nature of passing off, as it has developed through case-law, and the lack of any clear boundary to its expansion which might be practically provided if it were necessary for claimants to prove actual damage, the UK would do well to consider enacting a general unfair competition statute. Such a statute might, at the very least, clearly and systematically set out what market behaviour is or is not acceptable in the area of unfair competition, including on which side of this line "pure" misappropriation might fall.

I

The questions asked of the ECJ in *Intel v. CPM* and *L'Oreal v. Bellure* concerned the interpretation of arts 4(3) and 5(2) of the European Trade Mark Directive respectively.¹⁸ Specifically, they addressed the issue of when use of a sign identical or similar to a registered mark, which has a reputation in the Member States, on similar or dissimilar goods, is detrimental to the distinctiveness of the earlier mark (in the case of *Intel*) or takes unfair advantage of the repute of the earlier mark (in the case of *L'Oreal*). Both of these referrals to the ECJ originated from the British Court of Appeal, and in both cases the British court took the view that for either to apply there should be a misrepresentation about the claimant's mark made by the defendant. In *Intel*, the

¹⁷ *Intel Corp Inc. v. CPM United Kingdom Ltd.* (Case C-252/07) [2009] ETMR 13 *L'Oreal SA v. Bellure NV* (Case-487/07) [2009] ETMR 55.

¹⁸ First Council Directive 89/104/EEC on the approximation of the laws of Member States relating to trade marks.

claimant had registered marks for “Intel” and “Intelinside” for computers and related products. CPM obtained the registration of “Intelmark” for telemarketing and marketing services. Intel sought to have the CPM mark revoked on the basis, *inter alia*, that CPM’s use of the mark would be detrimental to the distinctive character of its own marks. The key issue raised in *Intel*, and addressed to the ECJ, was what was the nature of the link¹⁹ that the relevant public needed to make between the two marks which would lead to a dilution of the distinctiveness of the claimant’s mark. Intel argued it could constitute any kind of mental association, even a mere bringing to mind. According to Jacob L.J., however, this would be insufficient. In fact, what was needed was that “the average consumer would consider that there was an economic connection between the owners of the two marks.”²⁰ Furthermore, as a result of this link there must be harm or the prospect of harm to the distinctiveness of the claimant’s mark, which is “real and tangible”.²¹

We have already seen that in the case of *L’Oreal v. Bellure*, Jacob L.J. did not consider that there was any likelihood that the relevant consumers would be confused as to the origin of the products marketed by the claimant and the defendant. A key question for the ECJ then became whether when there was no such confusion, so that there was no damage to the origin function of the claimant’s mark and no impairment of the claimant’s sales, in other words no misrepresentation and no damage to the claimant’s mark as such, but the defendant did get a commercial advantage from his use of a sign similar to the earlier mark, would that amount to taking unfair advantage under art. 5(2). Jacob L.J. felt that the better answer would be in the negative, in that “where there is no harm, present or prospective, caused to the mark, its distinctive character or to the mark owner or his business, present or reasonably prospective, I see no reason to say that a use is “unfair”.”²²

Superficially, at least, the ECJ seemed to come to opposite conclusions in its consideration of these two cases. In its judgment in *Intel*, the ECJ looked at the nature of the necessary link for a finding of

¹⁹ The need for a “link” in the minds of the relevant consumers for s5(2) to operate was made clear in the ECJ decision, *Adidas-Salomon AG v. Fitnessworld Trading Ltd.* (C-408/01) [2004] ETMR 10.

²⁰ *Intel Corp Inc. v. CPM United Kingdom Ltd.* [2007] EWCA Civ 431 at para. 35. Here, presumably, Jacob L.J. was not asking that there be a confusion as to origin, since the necessity for origin confusion in finding infringement under art. 5(2) appeared to have been ruled out by the ECJ a number of years ago in the case of *Sabel BV v. Puma AG and Rudolf Dassler Sport* (C-251/95) [1997] E.C.R. I-6191. This was confirmed in *Adidas v. Fitnessworld* and the ECJ judgement in *Intel* at para. 24. But by asking for the assumption of a “connection” in the minds of the average consumer, which would of course not exist, it is submitted Jacob L.J. was asking for a deception. Indeed, he specifically stated (at para. 29) that the “link” must be more than a “tenuous association.” For a discussion of this point, see B. Trimmer, “The power of attraction: do trade marks have an “image” problem in the English courts?” [2009] E.I.P.R.195.

²¹ *Ibid* at para. 37.

²² *L’Oreal v. Bellure* at para. 94.

detriment to the distinctive character of the earlier mark. It seemed that were the average consumers to be confused as to origin of the defendant's goods then the "link", which was identified in *Adidas v. Fitnessworld*, would be "necessarily established".²³ But whether there was the necessary link for finding dilution had to be appreciated globally taking into account a variety of factors. Whether the average consumer called to mind the earlier mark when he saw the later mark or sign might be one factor in this global assessment, but it was not sufficient to establish the relevant link.²⁴ In fact, according to the ECJ, the only truly necessary factor for finding dilution was damage to the claimant's mark. Or as the court put it, "evidence of a change in the economic behaviour of the average consumer of the goods or services for which the earlier mark was registered consequent on the use of the later mark, or a serious likelihood that such a change will occur in the future."²⁵ And that change must be shown by the proprietor of the earlier mark "to cause actual and present injury to his mark ... or a serious likelihood that such an injury will occur in the future."²⁶

Damage was also relevant to finding that art. 5(2) applied in *L'Oreal v. Bellure*, although in this case it was the absence of damage to the earlier mark that was key. As we have seen, the Court of Appeal had asked, *inter alia*, whether unfair advantage might be found even if there was no likelihood of confusion between the earlier mark and the later mark or sign, and indeed even if the origin function of the earlier mark was not jeopardised nor was the mark impaired in any other way. The ECJ held that it would. According to the ECJ, taking unfair advantage of the character or repute of the mark with a reputation did not require a likelihood of confusion or any detriment to the distinctive character or repute of the earlier mark, or indeed any detriment to its proprietor. Rather, unfair advantage meant that the third party sought "to ride on the coat-tails" of the earlier mark in order to take advantage of its attractiveness and its reputation and thus to exploit, without recompense the proprietor's effort in creating and maintaining the mark's image.²⁷ Furthermore, in order to determine whether a mark does in fact take unfair advantage of the distinctive character or the repute of the earlier mark, it is necessary to undertake much the same exercise to determine if there is a relevant "link" made in the minds of consumers between the two marks as was described in *Intel*.²⁸

²³ *Intel v. CPM* at para. 57.

²⁴ *Intel v. CPM* at para. 63. Although, it was also true that 'the more immediately and strongly the earlier mark is brought to mind by the later mark, the greater the likelihood that the current or future use of the later mark is taking unfair advantage of, or is detrimental to, the distinctive character or the repute of the earlier mark.' (para. 67).

²⁵ *Intel v. CPM* at para. 80.

²⁶ *Intel v. CPM* at para. 71.

²⁷ *L'Oreal v. Bellure* at para. 50.

²⁸ *L'Oreal v. Bellure* at para. 44.

In *L'Oreal v. Bellure*, the ECJ made clear that a remedy against “parasitism” or “free-riding”,²⁹ which we have already identified as the defining characteristic of a general law of unfair competition, is provided by art. 5(2) TMD for marks with a reputation. In other words, taking unfair advantage is tantamount to “pure” misappropriation. By contrast, the judgment in *Intel v. CPM* held that for art. 5(2) to apply to the dilution of a mark with a reputation there needed to be actual damage to the earlier mark or a serious likelihood that it would occur. However, what these apparently contrasting cases share in common is the irrelevance of whether there is a deception for either detriment to distinctive character or unfair advantage to be found. Rather, both judgements concentrated on damage: in *Intel* the apparent need for damage; in *L'Oreal* the reverse. But here again the contrast might be more apparent than real. By asking, in *Intel*, not for actual damage, but allowing at a minimum for only a likelihood (albeit a serious one), without identifying any of the specific factors which might be adduced to determine whether such a likelihood of damage actually exists, the ECJ was, in effect, endowing national courts with the same freedom to find misappropriation that it provided by its judgment in *L'Oreal v. Bellure*. We shall now turn to passing off and misappropriation. We shall see that here too the emphasis on the need for a misrepresentation as setting a limit to the tort is misplaced. Instead, it will be argued that it is damage or its absence which has determined whether passing off has in fact evolved into a general law of unfair competition.

II

As we have seen, in the Court of Appeal in *L'Oreal v. Bellure*, counsel for the claimant argued that passing off had metamorphised into a tort of unfair competition, in particular because it was no longer necessary to prove there had been a misrepresentation in every case. We have also seen that Jacob L.J. disagreed. He reviewed the cases which the claimant's counsel had cited in support of his contention,³⁰ concluding that each of these confirmed the need for a misrepresentation, and instead, opined that³¹: “Most of it is about the damage which a misrepresentation will cause, Laddie J. [in *Irvine*] pointing out that it can be more subtle than loss of sales”. In some ways both these approaches are puzzling. In fact, if passing off is truly to be understood as different from a law of unfair competition then it is not the need for a misrepresentation alone which distinguishes it, but that the fact that the

²⁹ *L'Oreal v. Bellure* at para. 42.

³⁰ They were *Warnink v. Townend Ltd.*; *Irvine v. Talksport Ltd.* [2000] F.S.R. 60; *British Telecommunications plc v. One in a Million Ltd.* [1998] 4 All E.R. 476; and *Arsenal Football Club plc v. Reed* [2003] R.P.C. 39.

³¹ *L'Oreal v. Bellure* at para. 155.

misrepresentation damages the claimant's goodwill rather than simply benefits the defendant. Certainly, in cases of pure misappropriation it is presumably still possible to have a misrepresentation, but one that goes to the nature of the defendant's goods rather than those of the claimant. Indeed, where passing off cases have been perceived to stray from the classic trinity, it has most often been because the damage caused by the misrepresentation would not directly affect the claimant's goodwill rather than that there was a lack of a misrepresentation as such. But it is also true that in such cases the nature of that misrepresentation is often shadowy at best: and may, in some cases, differs little from the "link" which was described in *Intel* and *L'Oreal*. Cases of what is known as the "extended" form of passing off are a good example of situations in which both the misrepresentation and the damage it causes are hard to define – although understood as cases of misappropriation the claimant could be argued to have an unanswerable case.

In the "extended" form of passing off, the misrepresentation is not in relation to the claimant's goodwill but to a product which is produced by a number of claimants. In the leading case of the "extended" form of passing off, *Warnink v. Townend*, the claimants were the Dutch producers of the drink, advocaat, based on spirits and the defendant produced "Keeling's Old English Advocaat" based on wine. According to Lord Diplock,³² "True it is that it could not be shown that any purchaser of 'Keeling's Old English Advocaat' supposed or would be likely to suppose it to be goods supplied by Warnink or to be Dutch advocaat of any make." But nonetheless, and perhaps surprisingly, given the apparent lack of customer confusion, Lord Diplock accepted there would be loss of sales of the claimants' products. And he was also willing to accept the possibility that the reputation of the name "advocaat" would be debased.³³ Nor, as we shall see, were the claimants put to any particular proof that either sort of damage had or might occur. It is submitted that the only certainty in this case is that what the court, both at first instance and in the House of Lords, was really describing, was pure misappropriation. By describing its product as advocaat, the defendant was benefitting from the Dutch products' reputation, without it would appear deceiving customers into believing it was that product itself. Such a view is more than hinted at by Lord Fraser's statement that, "the misrepresentation was that the respondents' "Old English Advocaat" was a liqueur of the kind that

³² *Warnink v. Townend* at 739. In the High Court, Goulding J. had held that: "It has not been proved that any purchaser or consumer of the [respondents'] Old English Advocaat ever supposed it, or is ever likely to suppose it, to be the goods supplied by the [appellants], ... or to be Dutch advocaat of any make. There is, however, no doubt that members of the public believe, and have been deliberately induced by the [respondents] to believe, that in buying their Old English Advocaat they are in fact buying advocaat." (quoted by Lord Diplock at 739).

³³ *Ibid.* at 740.

enjoyed the reputation attached to genuine advocaat in England. I note in passing that the justification for the passing off action to prevent such misrepresentation continuing is not to protect the public (who might suffer no prejudice from it, if they had never tasted genuine advocaat) but to protect the appellants' property in the goodwill."³⁴

One might make a similar point about two other extended passing off cases which followed *Warnink v. Townend*: the "elderflower champagne" and "Swiss chocolate" cases. In *Taittinger v. Allbev*³⁵, the claimants were French champagne producers and the defendant produced a drink they called "Elderflower Champagne", which they sold in bottles reproducing the colour and shape of the classic champagne bottle. The defendant's "champagne" was non-alcoholic and sold for £2.45, about four times less than a bottle of real champagne. At trial, it was held that although there was goodwill and a misrepresentation, the amount of damage resulting from any customer confusion would be so small that it would be insufficient to find passing off. In the Court of Appeal, Peter Gibson L.J. accepted that there had been a misrepresentation that the defendant's product was "in some way associated" with champagne, and he accepted the view of Sir Mervyn Davies, in the High Court, that a "simple, unworldly man" might be confused between the two products. But he also accepted that the damage caused by this confusion might be on such a small scale that it could be ignored.³⁶ However, he thought that a larger number of the public would "associate" the two products,³⁷ and as a result the effect would be to "demolish" the distinctiveness of the word champagne.³⁸ This was where the real likelihood of damage lay. Similarly, Mann L.J. took the view that a possible lack of customer confusion was not decisive, since the real damage was to the impairment of the claimant's mark, although such "debasement, dilution or erosion are not demonstrable in figures of lost sales...".³⁹ According to Sir Thomas Bingham M.R.,⁴⁰

Plainly, those with any knowledge of wine will not buy the defendants' product instead of Champagne Like the judge, I do not think the defendants' product would reduce the first plaintiffs' sales in any significant and direct way. But that is not, as it seems to me, the end of the matter. The first plaintiffs' reputation and goodwill in the description Champagne derive not only from the quality of their wine and its glamorous associations, but also from the very singularity and exclusiveness of the description, the

³⁴ Ibid. at 754.

³⁵ *Taittinger SA and others v. Allbev Ltd. and another* [1993] F.S.R. 641.

³⁶ Ibid. at 669.

³⁷ Ibid. at 667.

³⁸ Ibid. at 669.

³⁹ Ibid. at 674.

⁴⁰ Ibid. at 677–678.

absence of qualifying epithets and imitative descriptions. Any product which is not Champagne but is allowed to describe itself as such must inevitably, in my view, erode the singularity and exclusiveness of the description Champagne and so cause the first plaintiffs damage of an insidious but serious kind.

As with the “advocaat” case, it was accepted by the Court of Appeal that there was no, or very little, customer confusion between the two products, rather an “association”, which although never actually defined bore a remarkable similarity to the “link” in the registered trade mark cases, *Intel* and *L’Oreal*. In any case, the Court of Appeal clearly held that such an association would be likely to dilute the value of the claimant’s mark, although it did not set out any parameters for how to assess the extent of dilution if and when it occurred.⁴¹ As a result and given the lack of customer confusion, it is submitted that the only sure outcome from the defendant’s actions in the “elderflower champagne” case is again the misappropriation of the positive connotations of the name “champagne” by the defendant.⁴²

Finally, it is worth considering the “Swiss chocolate” case, *Chocosuisse v. Cadbury*.⁴³ In this case, both the perceived misrepresentation and the actual damage might be said to fit uneasily into any conventional definition of passing off. Cadbury sold chocolate under the name “Swiss Chalet” with a picture of the same on its packaging. The chocolate was not made in Switzerland. Nor did the defendant claim that it was. The claimants were producers of chocolate which was made in Switzerland. Both Laddie J., in the High Court, and the Court of Appeal concluded that there was passing off. Thus, Laddie J. held that there was a misrepresentation which would damage the claimants’ goodwill through “insidious” damage to the “exclusivity” of the designation “Swiss Chocolate”.⁴⁴ This was despite the fact that, as he acknowledged, it was not clear what particular common characteristics the public attributed to Swiss chocolate, apart from its country of origin.⁴⁵ However, he accepted that Swiss chocolate had “a distinct

⁴¹ See F. Russell, “The Elderflower Champagne Case: Is This a Further Expansion of the Tort of Passing Off?” [1993] 10 E.I.P.R. 379.

⁴² In the later “Harrods” case, Millet L.J. warned, obiter, in relation to the “Elderflower champagne” judgment, that the debasement of the distinctiveness of the name champagne such that it became generic might be “an unacceptable extension of the tort of passing off”, because it need not depend upon customer confusion: *Harrods Ltd. v. Harrobian School Ltd.* [1996] R.P.C. 697 at 716. However, it can be argued that the dilution of the distinctiveness of a name does not mean that it will become generic; simply that it may no longer carry the same added advertising value. See also, M. Spence, *Intellectual Property* (Oxford 2007), pp. 235–6.

⁴³ *Chocosuisse Union des Fabricants Suisse de Chocolat and Others v. Cadbury Ltd.* [1998] R.P.C. 117 (HC); *Chocosuisse Union des Fabricants Suisses de Chocolat v. Cadbury Ltd.* R.P.C. 826 (CA).

⁴⁴ *Chocosuisse v. Cadbury* at 143 (HC).

⁴⁵ A misrepresentation about the country of origin of the chocolate would not in itself be an actionable one, since the use of Swiss in this context would be descriptive. The claimant’s would need to show that Swiss chocolate had acquired goodwill for other attributes: *Chocosuisse v. Cadbury* at 832 (CA).

reputation” and the “fact that members of that public have different views of what features of the distinctive quality are or are incapable of defining it is of little relevance”⁴⁶ The Court of Appeal went further and accepted that Swiss chocolate did indeed have defining characteristics in that it was made to Swiss food regulations, including the “absence of any added vegetable fat”, but there was no suggestion the public generally would be aware of this.⁴⁷

If the particular characteristics of Swiss chocolate, and hence the basis for its goodwill, were hard to pin down, presumably this was not the case for “Cadbury”. For example, in 2008, a Readers Digest’s survey of the “Most Trusted Brands” found that 54 per cent of respondents identified Cadbury “as the most trusted brand of chocolate and confectionery.” “Cadbury” was rated highly for its “quality, excellent value, strong image and understanding customer need”.⁴⁸ It must surely be arguable that in purchasing “Swiss Chalet”, consumers were at least as likely to be attracted by the fact that the origin of the chocolate lay with Cadbury rather than with Switzerland. This possibility was acknowledged by Laddie J. who took the view that the prominence of the Cadbury brand name meant that a majority of the public, like himself, would not be confused into thinking the chocolate was “Swiss” chocolate. He then went on to find, absent evidence, that a smaller but nonetheless still a significant number of consumers would.⁴⁹ It is not argued that Cadbury got no advantage from styling its chocolate “Swiss Chalet”. Presumably, Cadbury intended to attach whatever positive associations consumers had about Swiss chocolate to its own. But, it seems equally likely that the public would assume the chocolate was English, even if it had some of the attribute of Swiss chocolate, however defined. It is submitted that from this perspective, this case too fits squarely within the ambit of misappropriation. Furthermore, were this to be accepted, then the claimants would be released from the need to show “insidious” damage to their putative goodwill: something which they were not called upon to do in any event.⁵⁰

⁴⁶ *Chocosuisse v. Cadbury* at 133 (HC). Although earlier he had opined that it had a reputation for “quality, expense and exclusivity” (at 130).

⁴⁷ *Chocosuisse v. Cadbury* at 839–840 (CA).

⁴⁸ L. Ranoo, “Cadbury’s sweet brand success despite apology”, Food and Drink Europe.com, 12 June 2008 (www.foodanddrinkeurope.com/Consumer-Trends/Cadbury-s-sweet-brand-success-despite-apology). Shortly before the survey, Cadbury had been fined £1 million “for allowing the sale of salmonella-contaminated chocolates”.

⁴⁹ *Chocosuisse v. Cadbury* at 148 (HC).

⁵⁰ In *Diageo v. ICB*, the claimants produced vodka and the defendants were found liable under the extended form of passing off for selling a drink “Vodkat” which was not “pure” vodka. It would appear that to Rix L.J. the decision might be seen to encompass a remedy against misappropriation, when he stated (at para. 77): “There ought ... to be room for its manufacturer to market what might be called a vodka-type product in such a way that the consumer (barring the ignorant or foolish) knows what he or she is and is not getting, and yet the association with vodka is legitimately and not deceptively made.”

It is not intended to suggest that it is only the extended form of passing off which displays the characteristics of a general tort of unfair competition. There are other forms of passing off which, it is submitted, do the same. “Inverse” (or reverse) passing off is a case in point, sharing as it does, with the extended form, the fact that the relevant misrepresentation is primarily in relation to the defendant’s goods rather than the claimant’s. Thus, in *Bristol Conservatories v. Custom Built*,⁵¹ the defendant showed pictures of the claimant’s conservatories to its prospective customers, claiming them as its own. The Court of Appeal held that whether or not the public would be confused was irrelevant. According to Gibson L.J., “The prospective customer here is not left to perceive the difference between the two allegedly similar products, he is told simply and untruthfully that Custom Built designed and constructed the conservatories which provide the evidence for the experience, skill and reputation of the plaintiffs” and found passing off.⁵² In this situation, while there is obviously a misrepresentation, there must be some difficulty in pinning down exactly what damage it might do to the claimant’s goodwill, if the relevant public are unaware of it.⁵³ However, there can be little doubt that the defendant has misappropriated some of the value of the claimant’s reputation, including its experience and skill, for its own benefit.⁵⁴

Another more recent example of a case where, it can be argued, passing off strayed into misappropriation and which was also cited by defence counsel in *L’Oreal is Irvine v. Talksport*.⁵⁵ In *Irvine*, the claimant, a racing car driver who endorsed products, sued the defendant radio station which produced a doctored photograph showing the claimant listening to its programme on a portable radio, thus implying, according to Laddie J., that he had endorsed the defendant. Here, Laddie J. identified the damage as the following:⁵⁶

In my view these cases [of false endorsement] illustrate that the law of passing off now is of greater width than as applied by

⁵¹ *Bristol Conservatories Ltd. v. Conservatories Custom Built Ltd.* [1989] R.P.C. 455.

⁵² *Ibid.* at 465.

⁵³ H. Carty, “Inverse Passing Off: A Suitable Addition to Passing Off?” [1993] E.I.P.R. 370 disagrees, arguing that “inverse” passing off fits within the “classic” definition of passing off, in that there is a misrepresentation. This misrepresentation is to quality, as in the “Advocaat” case, which might lead to loss of sales (at p. 373). However, it is submitted that it is difficult to predict such damage if, unlike in “Advocaat” the consumer is unaware of the claimant’s goods.

⁵⁴ Jonathan Griffiths argues that “inverse” passing off might serve as an avenue for protecting creative artists against misattribution of their works, in the absence of a “paternity right”. Interestingly, he argues that this would not expand the tort into one of misappropriation as cases of “inverse” passing off still require an actionable misrepresentation. It is suggested that this is a difficult argument to make since it begs the question of whether the Court of Appeal in *Bristol Conservatories* was right to find an *actionable* misrepresentation the first place in the absence of damage. J. Griffiths, “Misattribution and misrepresentation – the claim for reverse passing off as ‘paternity’ right” [2006] I.P.Q. 34 at 49–52.

⁵⁵ See fn 26 above.

⁵⁶ *Irvine v. Talksport* at para. 38.

Wynn-Parry J in *McCulloch v. Lewis A. May (Produce Distributors) Ltd.* [1947] 2 All E.R. 845.⁵⁷ If someone acquires a valuable reputation or goodwill, the law of passing off will protect it from unlicensed use by other parties. Such use will frequently be damaging in the direct sense that it will involve selling inferior goods or services under the guise that they are from the claimant. But the action is not restricted to protecting against that sort of damage. The law will vindicate the claimant's exclusive right to the reputation or goodwill. It will not allow others to so use goodwill as to reduce, blur or diminish its exclusivity. It follows that it is not necessary to show that the claimant and the defendant share a common field of activity or that sales of products or services will be diminished either substantially or directly, at least in the short term. Of course there is still a need to demonstrate a misrepresentation because it is that misrepresentation which enables the defendant to make use or take advantage of the claimant's reputation.

In *Irvine*, the claimant did not supply goods or services which incorporated any goodwill which could be damaged by the defendant's misrepresentation. In order to keep *Irvine* within the bounds of passing off, it has nonetheless been argued that he did have goodwill in the business of endorsing products and the misrepresentation that he had endorsed the radio station damaged that goodwill.⁵⁸ But to maintain this line of explanation, it has also been necessary to differentiate the *Irvine* case as a one of "false endorsement" from cases purely concerned with false merchandising, where a celebrity image (either real or fictional) has been appropriated and placed on a product without his or her consent, since these latter cases have not generally found a remedy in passing off.⁵⁹ To justify this interpretation of *Irvine* it is necessary first to relocate the relevant goodwill from *Irvine* as a personality (where it was placed by Laddie J. in the above quote) to his business of endorsing products and also to maintain that the public will actually draw a distinction between false merchandising and false endorsement.⁶⁰ This is not to argue that the courts must necessarily accept that passing off should provide a remedy for "pure"

⁵⁷ In this early case, there was held to be no passing off because there was no common field of activity between the claimant, a radio presenter, and the defendant company which produced breakfast cereals.

⁵⁸ C. Wadlow, *The Law of Passing Off: Unfair Competition by Misrepresentation* (London 2004), p. 480.

⁵⁹ *Irvine v. Talksport* at para. 9; Wadlow, *The Law of Passing Off*, at p. 480. For the reluctance of courts to find a remedy in passing off for cases of false merchandising see, for example, J. Klink, "50 years of publicity rights in the United States and the never ending hassle with intellectual property and publicity rights in Europe" [2003] IPQ 363.

⁶⁰ This has led one commentator to argue that the justification for finding a relevant misrepresentation is that in cases of "false endorsement" there might be some suggestion of quality control although he also admits this is a "fiction" which the public would be unlikely to believe. A. Learmonth, "Eddie, are you okay? Product endorsement and passing off" [2002] I.P.Q. 306 at 311. Spence has described such a division as "artificial" (Spence, *Intellectual Property*, p. 237).

misappropriation of “fame” in false merchandising cases, but rather to suggest that the difference between doing so and the outcome of the *Irvine* case might be more apparent than real.⁶¹ Indeed, it is interesting that Laddie J., who was of course responsible for the expansion of the scope of passing off to encompass false endorsement, originally suggested that the relevant damage would be a reduction in the “exclusivity” of the claimant’s image as such, and then subsequently held the relevant damage to be the cost for the defendant of engaging a celebrity to associate with its product, although not necessarily *Irvine* in particular.⁶² This amount was increased in the Court of Appeal to the price *Irvine*, himself, would have charged for an endorsement, surely a more logical outcome if this was indeed a case of “false endorsement” rather than one which concerned the simple misappropriation of fame.⁶³

III

We have argued thus far that if the presence of a misrepresentation is key to distancing passing off from cases of pure misappropriation, there is considerable evidence that the definition of what constitutes a misrepresentation in passing off has been an exceedingly flexible one.⁶⁴ Indeed, it has often borne a distinct similarity to the elusive link which the ECJ identified in *Intel* and *L’Oreal* as necessary for findings of dilution and misappropriation, respectively, in relation to registered trade marks and which falls far short of any confusion as to the origin of the goods or services in question. We have suggested, instead, that what actually differentiates misappropriation from “classic” passing off is the absence of damage to the claimants’ goodwill. Thus, as we have seen, in *L’Oreal*, Jacob L.J. himself took the view that those cases which appear to stretch the boundaries of passing off have done so through identifying new types of damage rather than by eliminating the need for a misrepresentation as such: although, of course, it has been argued here, that some have done that as well.⁶⁵

Others have identified the presence of damage to goodwill as the key element which separates passing off from unfair competition. According to Hazel Carty:⁶⁶

Proving financial loss (to the claimant) or gain (to the defendant) is not sufficient. The link between damage and goodwill is an important limitation on the tort, especially after *Advocaat* added

⁶¹ According to Hazel Carty, in *Irvine*, “there is a real sense that misappropriation rather than misrepresentation was at the heart of liability”: H. Carty, “The common law and the quest for the IP effect” [2007] I.P.Q. 237 at 257.

⁶² *Irvine v. Talksport Ltd. (Damages)* [2003] E.M.L.R. 6 (HC).

⁶³ *Irvine v. Talksport Ltd. (Damages)* [2003] E.M.L.R. 26 (CA).

⁶⁴ See also, H. Carty, “The common law” at 251.

⁶⁵ See above, fn. 29.

⁶⁶ H. Carty, *An Analysis of the Economic Torts*, p. 211.

product misdescription to the list of relevant misrepresentations. If simply any damage-in the sense of damage to the claimant's competitive edge – was sufficient, then the tort would expand into something closer to an action for unfair competition.

Similarly, Christopher Wadlow sees the need to show damage to goodwill as compensating for what may be seen as less traditional types of misrepresentations in passing off cases. According to Wadlow: "Faced with a set of facts which would hardly have fitted within the traditional notion of the tort, likelihood of damage provides one acid test to distinguish those misrepresentations which amount to passing-off from those of which the claimant cannot complain."⁶⁷ In addition, Wadlow sees as crucial that such damage or its likelihood should be to the claimant's goodwill. Where passing off has recognised types of damage which do not appear directly to threaten goodwill, such as dilution, he argues that these have "overlapped" with or been the "intermediate cause" of several other, "better established" heads of damage, such as, for example, loss of sales.⁶⁸ As an example, he cites the "Elderflower champagne" case, which he says recognised confusion as the crucial fact for a finding of passing off and hence went beyond offering a simple remedy for dilution.⁶⁹

Thus it appears, to these commentators, that if damage is an "acid test" that there has been a relevant misrepresentation; then confusion provides the necessary proof that there will be the relevant damage. This view had been put by Millet L.J. in the "Harrods" case, when commenting on the decision in "Elderflower champagne", he said: "I have an intellectual difficulty in accepting the concept that the law insists upon the presence of both confusion and damage and yet recognises as sufficient a head of damage which does not depend on confusion."⁷⁰ Carty too sees the three elements of passing off as "interlinked", helping "to define and limit each other."⁷¹ By contrast, what has been argued here is not necessarily that the "Elderflower" champagne case, and the other cases discussed, should be understood as passing off without confusion. Instead, we have gone further to suggest that on their facts, and indeed, as was recognised by the courts, not only the likelihood of confusion but also damage to the claimants' goodwill were equally remote.

⁶⁷ Wadlow, *The Law of Passing Off*, p. 243. Wadlow writes, "If confusion with the claimant is slight and tangible damage speculative then there is no liability for passing off" (p. 255).

⁶⁸ Wadlow, *The Law of Passing Off*, p. 269. Thus, he suggests that damage which results in loss of exclusivity to the mark or insignia, alone, "should be treated with caution" (p. 269) and describes "dilution" as a form of "parasitic" damage, which essentially rides on the coattails of other forms of damage (p. 272). Carty also notes that "dilution" is often found as a "supplement" to other more orthodox heads of damage. (Carty, *The Economic Torts*, p. 219).

⁶⁹ Wadlow, *The Law of Passing Off*, p. 271.

⁷⁰ *Harrods v. Harrodian* at 717; see also, Spence, *Intellectual Property*, p. 243.

⁷¹ Carty, *The Economic Torts*, p. 222.

That passing off may in effect encompass “pure” misappropriation, in this way, derives, in large measure, from the fact that although the supposed core of the tort is damage to the claimant’s goodwill, such damage is often assumed by the courts and very rarely needs to be proven by the claimant. There are two reasons for this. One has to do with principle; the other with practice. In the former case, if a defendant is indeed passing off, then it would be a poor justice system which allowed him to continue to do so until he damaged the claimant’s goodwill. Thus, the courts have recognised that a passing off action may be brought *quia timet*.⁷² In other words, if in the court’s view damage to goodwill is the likely outcome of the defendant’s actions then once a claimant can show goodwill and a misrepresentation the courts may well assume a likelihood of such damage.⁷³ In the second case, where instances of passing off are not brought to a swift conclusion by a letter before action, in practice legal proceedings will frequently be resolved by the claimant’s obtaining an interim injunction. Even if a case goes to trial, which happens rarely, legal proceedings almost certainly end once a successful claimant obtains a permanent injunction. It is even less usual for the claimant then to seek a second hearing to decide upon the measure of damages owed by the defendant. Thus, in a majority of cases, neither in principle nor practice, will the claimant be put to proof of damage.⁷⁴

As we have seen, it is a recognised aspect of passing off that a court may assume there is the relevant damage if goodwill and a misrepresentation can be shown. And, as we have also seen, the courts may assume there has been the relevant misrepresentation, if damage to goodwill can be shown or, more to the point, inferred. In *Chocosuisse*, for example, no evidence was apparently adduced by the claimants as to damage through loss of sales or of any other kind. Instead, the claimants argued that if they succeeded in showing goodwill and a relevant misrepresentation, then “damage is more or less inevitable”. Laddie J. agreed, and this point was not contested in the defendant’s appeal.⁷⁵ In *Taittinger*, as well, the claimants gave “no evidence of loss of sales”, nonetheless Peter Gibson L.J. was willing to infer that there would be such damage, based on the likelihood that some members of the public would be confused. Although, as we have seen, he thought the greater damage would be to the exclusiveness of the name

⁷² *Warnink v. Townend*, per Lord Diplock at 405.

⁷³ Wadlow, *The Law of Passing Off*, pp. 245–46.

⁷⁴ The situation is similar in other jurisdictions. In France, for example, a symbolic one franc is often granted for damages in unfair competition actions because “of the difficulty of estimation of the actual damage.” An injunction will be granted “if there is a threat of immediate damages and the violation of the law is obvious.” In Germany too, the injunction is the most important remedy, and most often in preliminary proceedings. Henning-Bodewig, *Unfair Competition Law*, pp. 124, 137.

⁷⁵ *Chocosuisse v. Cadbury* at 143.

champagne, something which did not depend upon customer confusion.⁷⁶ In *Bristol Conservatories*, too, the Court of Appeal was willing to infer damage to the claimant's goodwill because of the defendant's misrepresentation, even though Peter Gibson L.J. had this to say of the misrepresentation itself: "The concept of confusion, in my view, is irrelevant when the misrepresentation leaves no room for confusion".⁷⁷ On the other hand, *Irvine* was a particularly unusual passing off case in that the courts were called upon, in separate hearings, to calculate the damage caused by the defendant's passing off.

Despite rare exceptions such as *Irvine*, in the other cases discussed above and indeed in the vast majority of passing off cases, claimants are able to assert that they have suffered damage to their goodwill, or are likely to do so, or the courts are able to infer the same in the sure knowledge that it will be highly unlikely that the claimant will need to adduce proof of such damage. It can be argued that to provide otherwise would be to lengthen such actions so that the damage to the claimant's goodwill through the defendant's passing off would be irreversible whether or not the former was eventually compensated by the latter; or that it would be foolish to prolong passing off actions, and hence to increase the costs involved, if the parties were willing to settle at an early stage. Nonetheless, it is remarkable that a lack of the need to prove damage to goodwill is characteristic of even those landmark decisions which have shaped the nature of the tort at its margins. In *Warnink v. Townend*, Lord Diplock was willing to accept the "finding of fact" by the trial judge, Goulding J., that the claimants' goodwill would suffer "serious injury" through the actions of the defendant.⁷⁸ Yet, although Goulding J. accepted that there was evidence the defendant had diverted sales from the claimants (in effect, a statement from the defendant that it "must" have taken some of the claimants' customers), with regard to the "more gradual damage to the plaintiffs' business through depreciation of the reputation that their goods enjoy", he noted that "damage of the second type can rarely be susceptible of positive proof in this class of case" and indeed, in the event, none was given.⁷⁹

IV

There continues to be considerable debate as to whether the United Kingdom should introduce a law of unfair competition. There are

⁷⁶ *Taittinger v. Albev* at 669.

⁷⁷ *Bristol Conservatories v. Custom Built* v. at 465. See also Spence, *Intellectual Property* (at p. 245), who compares the lack of apparent damage in the *Bristol Conservatories* case to the "classic" US misappropriation case, *International News Service v. Associated Press* (1918) 248 U.S. 215.

⁷⁸ *Warnink v. Townend*, per Lord Diplock at 410.

⁷⁹ *Warnink v. Townend* [1978] F.S.R. 1 at 23.

certainly powerful arguments as to why it might be wrong either to introduce a remedy for misappropriation or to stretch passing off to encompass such a wrong. For the most part, these arguments reflect the view, traditionally favoured by the judiciary in the United Kingdom, that it is in the public interest to have robust competition in the market, both for the benefit of traders and the public more generally.⁸⁰ Thus, in the “Pub Squash” passing off case, Lord Scarman commented:⁸¹

But competition must remain free; and competition is safeguarded by the necessity for the plaintiff to prove that he has built up an “intangible property right” in the advertised descriptions of his product, or, in other words, that he has succeeded by such methods in giving his product a distinctive character accepted by the market. A defendant, however, does no wrong by entering a market created by another and there competing with its creator. The line may be difficult to draw; but, unless it is drawn, competition will be stifled.

What might be called the “English” view was recently summarised in a government report relating to the implementation of the Unfair Commercial Practices Directive.⁸²

English law tends to prioritise different values to those favoured by other European legal systems. First, as a matter of doctrinal form, English contract law prefers specific provisions to general clauses; and, secondly, as a matter of doctrinal substance, the default values of English contract law are those of self-reliance and individualism rather than mutuality and co-operation.

Or, as Jacob J. pithily noted in *Hodgkinson v. Wards Mobility*, “the common law ... leans against monopolies”.⁸³

Carty has taken a similarly cautious approach to the creation of monopolies, if for slightly different reasons. Rather than her primary concern being for traders seeking to enter a market, she sees a public interest in protecting consumers against misinformation about products. Such protection, according to Carty, is dependent upon the “need for customer connection and misrepresentation” in passing off,

⁸⁰ See, for example, Robertson and Horton, “Does the UK or the EC need an unfair competition law?” [1995] E.I.P.R., 568–569, at 569. Spence, in “Passing off and the misappropriation of valuable intangibles” argues that a law against misappropriation would be unjustified in principle, but that the courts in the UK tend to take a more pragmatic approach. Elsewhere this author has argued that the UK is unlikely to develop a law of unfair competition which provides a remedy for misappropriation, primarily because of judicial opposition. Clearly, given the recent comments by Jacob L.J. in *L’Oreal v. Bellure* and Patten L.J. in *Diageo v. ICB*, this opposition continues. However, the argument here is that the law of passing off has in fact come to encompass a remedy against misappropriation, despite these judicial misgivings. See J. Davis, “Unfair Competition in the United Kingdom” (in R. M. Hilty and F. Henning-Bodewig (eds), *Law Against Unfair Competition: Towards a New Paradigm in Europe?* (Berlin 2007), pp. 195–196.

⁸¹ *Cadbury-Schweppes Pty Ltd. v. The Pub Squash Co Pty Ltd.* [1981] R.P.C. 429 at 491.

⁸² DTI, “Operation of General Rules and the Notion of Fairness in English Law”, para. 6. (www.dti.gov.uk/ccp/topics1/unfair.htm)

⁸³ *Hodgkinson v. Ward Mobility* at 173.

“which ensures that the public interest in rational consumer decisions is maintained”.⁸⁴ Interestingly, Carty differentiates this “public interest” from the narrower interests of traders, although it could be argued that greater competition allows for lower prices and more choice, which also benefits the wider public.⁸⁵ Jacob L.J. made this point in his judgment in *L’Oreal v. Bellure*. Referring back to the facts in *Hodgkinson & Corby v. Wards Mobility*, he noted:⁸⁶

The rejected complaints show just how anti-competitive a law of unfair competition would or might be. What one man calls “unfair”, another calls “fair”. The market involves the interests of traders, their competitors and consumers. They all have different perspectives. An established trader would like the law to hold off all his competitors – as far as possible. He would want to prevent all copying of his products – and for as long as possible, preferably indefinitely And the consumer will want the best deal he can get. He would oppose anything deceptive, but probably nothing else.

There are of course also strong arguments on the other side. The recent Gowers Review of Intellectual Property⁸⁷ questioned whether “brands” should attract greater protection from misappropriation, in particular in relation to copycat packaging, noting the difficulties for prospective claimants in demonstrating consumer confusion in passing off actions or even sufficient goodwill.⁸⁸ Gowers concluded that the government should “monitor the success of current measures to combat unfair competition” and if these are found to be ineffective, should then consult upon how the law might be changed.⁸⁹ In its judgment in the *L’Oreal v. Bellure*, the ECJ also put succinctly why it believed the Trade Mark Directive should protect marks with a reputation against “parasitism” or “free riding”.⁹⁰ The Court held:⁹¹

... where a third party attempts, through the use of a sign similar to a mark with a reputation, to ride on the coat-tails of that mark

⁸⁴ Carty, “The Common Law and the Quest for the IP Effect” at 263. Spence recognises arguments for a law against misappropriation, not least because a lack of such a remedy, has led judges to “stretch” or indeed “distort” common law remedies like passing off. But he believes such a remedy would be misplaced because, *inter alia*, “there is a danger that that any imitation of any intangible asset could be rendered actionable on that basis and thus the careful limitations on the scope of statutory intellectual property rights might become effectively otiose.” (Spence, *Intellectual Property*, p. 40). However, Spence was of course writing before the ECJ decision *L’Oreal v. Bellure* which considerably expanded the limits of registered trade mark protection.

⁸⁵ Carty accepts that there may be a moral argument for protecting traders against misappropriation, but believes that is outweighed by the public interest. (Carty, “The Common Law”, 266). See also, Carty, *The Economic Torts*, pp. 235–6.

⁸⁶ *L’Oreal v. Bellure* at 139.

⁸⁷ The Gowers Review of Intellectual Property, November 2006 (http://webarchive.nationalarchives.gov.uk/+http://www.hm-treasury.gov.uk/d/pbr06_gowers_report_755.pdf)

⁸⁸ C. Morcom, “Gowers: a glimmer of hope for UK compliance with Article 10bis of the Paris Convention” [2007] E.I.P.R. 125. See also, Mills, “Own label products,” 129.

⁸⁹ Recommendation 37, Gowers Report.

⁹⁰ *L’Oreal v. Bellure* at para. 41.

⁹¹ *L’Oreal v. Bellure* at para. 49.

in order to benefit from its power of attraction, its reputation and its prestige, and to exploit, without paying any financial compensation and without being required to make efforts of his own in that regard, the marketing effort expended by the proprietor of that mark in order to create and maintain the image of that mark, the advantage resulting from such use must be considered to be an advantage that has been unfairly taken of the distinctive character and repute of that mark.”

Protection against misappropriation may thus be seen as necessary to protect the investment that proprietors will put into nurturing the attractiveness of their brands, and to encourage them to invest further in the future. Elsewhere, it has been argued that not only does the brand owner profit from such protection, but so does the public more generally. In particular, some consumers are willing to pay a premium price for “exclusive” merchandise, and would see their own investment in such goods undermined if other traders were able to appropriate that exclusive image for cheaper products.⁹²

If the question of whether the United Kingdom should adopt remedies against misappropriation has been a matter of intense debate for some time, it is all the more ironic that in practice, as has been argued here, the law of passing off has already done so.⁹³ We have suggested that the extended form of passing off, inverse passing off and cases of false endorsement should all be understood as providing a remedy against misappropriation. We have made this suggestion because, as has been argued, in these cases in particular, damage or the likelihood of damage to the claimant’s goodwill, as a requirement for passing off, has appeared to be particularly remote. Indeed, we have gone on to argue that the bias against having to show damage or the likelihood of damage in passing off actions both for legal and pragmatic reasons has been a major factor in enabling the tort to trespass on the territory occupied in other jurisdictions by unfair competition law.

But, as we have also seen, any systematic application of passing off to situations where the key wrong suffered by the claimant is misappropriation of his goodwill is unlikely. Because of this uncertainty and because, in practice, misappropriation is already recognised in English law, there must be a strong argument for enacting an unfair competition law, which provides a remedy against misappropriation. Such a law need not be permissive. Indeed, on the contrary, it might be designed in such a way as to ensure that successful actions for

⁹² N. Dawson, “Famous And Well-Known Trade Marks – “Usurping a Corner of the Giant’s Robe” [1998] 4 I.P.Q. 350 at 378; also W. M. Landes and R. A. Posner, “Trademark Law: An Economic Perspective” [1987] *Journal of Law & Economics* vol. XXX, 308–09.

⁹³ In *Arsenal v. Reed*, Aldous L.J. did state obiter that the “cause of action traditionally called passing off, [is] perhaps best referred to as unfair competition” (at para. 70), but it is submitted that this statement goes against the prevailing judicial and academic view. For discussion, see Davis, “Unfair Competition”, pp. 183–84.

misappropriation must surmount significant obstacles. For example, if one were to take the German Act against Unfair Competition (2004) as a model, then, according to one observer, misappropriation may be “theoretically” dealt with only on the basis of the Act’s general clause, which requires that illegal acts of unfair competition must be “capable of impairing competition to a not insubstantial extent.”⁹⁴ Nonetheless, however tightly drawn, such a law might go some way to ensuring that claimants (and perhaps even more importantly defendants) know what market behaviour would be tolerated and what deemed unfair.⁹⁵ It would bring the law of passing off into line with that of registered trade marks, which following the ECJ decision in *L’Oreal v. Bellure*, now provides a remedy against misappropriation. And it would presumably provide a remedy for those, perhaps rare, occasions when morality should triumph over the market, and a defendant not be allowed to enrich himself at the expense of a claimant. Despite judicial resistance to a law against misappropriation, the fact that it has already found its way into passing off suggests that there are times when justice demands that competition should not simply be given its head.

⁹⁴ The “general clause” is set out in Section 3 of the Act. H. Henning-Bodewig, “A new Act against unfair competition”, 426–427. See also, M. Finger and S. Schmieder, “The New Law Against Unfair Competition: An Assessment” (2005) 6 German Law Journal No. 1, 202 at 206.

⁹⁵ Perhaps when the misappropriation is intentional; a factor which the ECJ suggested might be taken into account in *L’Oreal v. Bellure* (at para. 48). Intentionality was also taken as a relevant factor in the passing off case, *United Biscuits (UK) Ltd. v. Asda Stores Ltd.* [1997] R.P.C. 513, which involved supermarket ‘lookalikes’.